# USA TRIATHLON

## RACE DIRECTOR RESOURCE GUIDE:

## BUILD & MANAGE EVENT P&Ls

**INTRODUCTION:**

When it comes to your finances, the last thing you want to do is guess. Having a firm handle on the money coming in and the money going out the door allows you to make informed decisions. Financial planning is largely rooted in goal-setting, where you have the ability to determine what constitutes success for your event and your business. It's true that event success comes in many forms: providing a great athlete experience, employing a rockstar event crew, creating ties with the local community - the list goes on and on. But at the end of the day, it is efficient money management that usually dictates whether an event will be here for the long term.

In this section, we will explore the Profit and Loss Statement (P&L) and how it can be used as a tool to set and track the performance of your financial goals.

**Note: While this Guide does provide information about tax, legal, and financial considerations, this is not to be taken as advice. Since rules change over time and can vary by location, consult professionals for specific guidance.*

## PROFIT & LOSS STATEMENT:

A profit and loss statement (P&L), also referred to as an income statement, is a financial tool that summarizes revenue (income) and expenses (costs). At the most basic level, a P&L shows if your business is profitable. Your business profits when it is earning more than it spends. If you have a loss, it means your business is spending more than it earns.

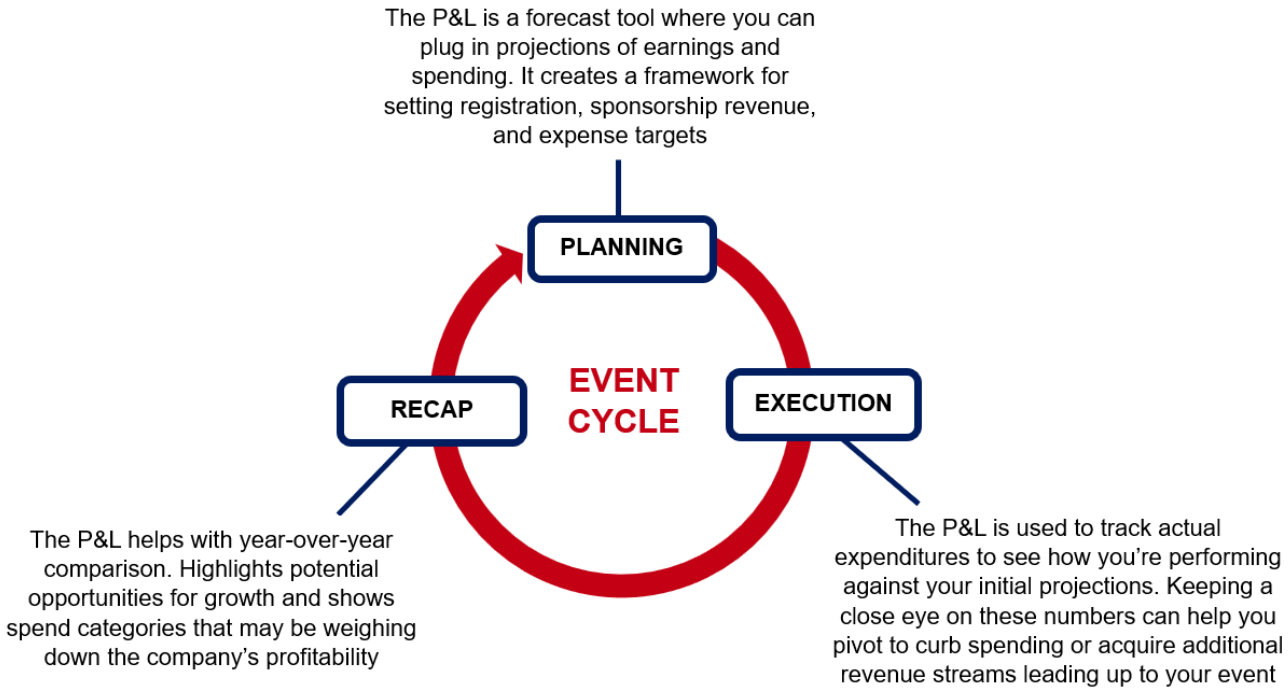
Creating and maintaining a P&L is commonly referred to as the "budgeting process" and it's exactly that — a process! Developing your budget isn't something you cross off your to-do list at the beginning of the race season and revisit again at the end of the year. Your event P&L(s) should be a file that's always open on your desktop.

**DID YOU KNOW?**

There are 3 commonly used financial statements:

1. **P&Ls (Income Statements)**: Show revenue, costs, and expenses
2. **Balance Sheets:** Also includes all business assets (i.e. property), liabilities (i.e. debt), and shareholder's equity (i.e. initial investment)
3. **Cash Flow Statement:** Shows where your cash is coming from and where it's going

As a Race Director, the information you need to make decisions changes as you move through the planning, execution, and recap phases of an event. The functions of the P&L evolve to mirror these needs, and when utilized effectively, it can be a powerful tool to guide decision-making and strategy.



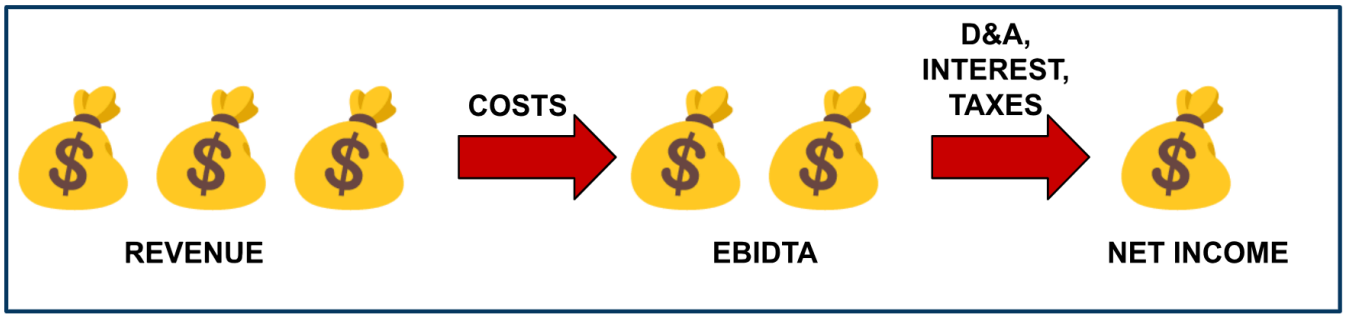
**One Size Doesn't Fit All**: Triathlons come in all shapes and sizes. There isn't a universal model for determining how much a race costs. Each event has its own operational nuances that affect the bottom line (i.e. venue costs, police fees, staff needs). The experiential elements of your event also impact the financials. P&Ls for events that pull out all the bells and whistles with things like SWAG, live entertainment, or post-race food will look significantly different from events that don't have these elements.

*How much does it cost to produce a triathlon?*

**…It depends**

In short, no two races are the same. Every race should have its own P&L to help account for all of its components. A new version of the P&L should be created each year to adjust for changes in the race itself and to take into account outside societal factors, such as inflation or product shortages.

**P&L Components:** Before we dive into how to build your P&L, it's important to understand the core components of the tool:




1 **Revenue**: Event Income
*Examples: Registrations, sponsorships, merchandise sales*

2 **Operating Expense:** Indirect expenses that come from operating the event
*Examples: Venue fees, equipment rental, athlete food and beverage*

When evaluating your indirect expenses, there are a few classifications to keep in mind as you work to project costs and make decisions about how money should be spent to meet the event's goals.

<u>Fixed vs. Variable Expenses:</u>

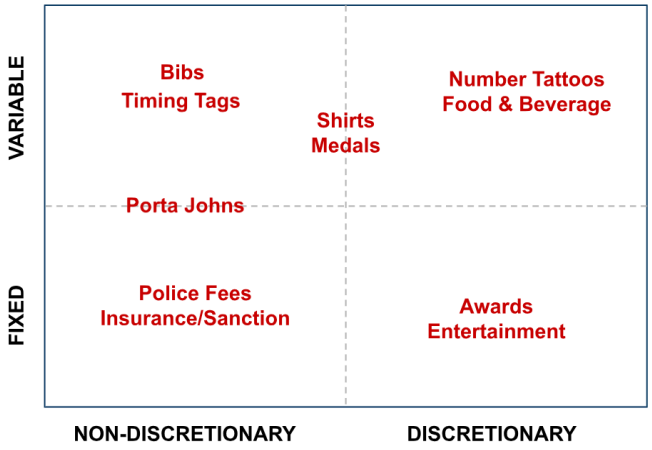
- **Fixed Expense:** An expense that's independent of audience size. In other words, this expense will remain the same whether you have (1) race participant or (1,000) participants.
  *Examples: Insurance/sanction, fuel & mileage, venue fee*

- **Variable Expense:** Expenses that are driven and affected by audience size. The larger the race becomes, the more expense you'll incur.
  *Examples: Awards, food & beverage, participant t-shirts*

<u>Discretionary vs. Non-Discretionary Expenses:</u>

- **Discretionary Expense**: Expenses that you as the Race Director have control to limit or eliminate
  *Examples: Travel & meeting expense, signage, office supplies, staffing*

- **Non-Discretionary Expenses**: Expenses that your race incurs that lie outside your control. It may be difficult to limit or eliminate
  *Examples: Public safety/Police fees, insurance/sanction*

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**EBIDTA:** (Earnings before Interests,Tax, Depreciation, and Amortization). The EBIDTA number is your gross profit minus your operating expenses.

<u>Depreciation / Amortization</u>: Reflect the gradual reduction of value of an asset as it gets older, wears out, and becomes obsolete. Typically, this is used for larger purchases. As a first step, set your threshold for a minimum dollar amount an expense must be in order to go through the process of capitalizing it over time.

**DID YOU KNOW?**

**Depreciation:** Applies to a tangible asset
*(ex: equipment, vehicle)*

**Amortization:** Applies to an intangible asset
*(ex: trademark)*

There are multiple methods for calculating these amounts, but straight-line depreciation is the simplest method. It involves the allocation of an even rate of depreciation every year over the useful life of the asset. The formula for straight-line depreciation is as follows:

**Annual Depreciation = (Asset Cost - Residual Value) / Useful life of the asset**

- Asset Cost = All costs associated with the asset
  - *As an example, let's imagine you purchased a Utility Vehicle (UTV) for use at your events, which included the following expenses:*
    - *$8,000 = UTV*
    - *$1,500 = Warranty*

        - *500 = Optional hitch*
          *$10,000 = TOTAL ASSET COST*

- Residual Value = The value at the asset at the end of life
    - *You have done some research and once the UTV is no longer functional, the manufacturer will purchase back the machine to recycle the parts for $750*
        - *$750 = RESIDUAL VALUE*

- Useful Life of the Asset = How long the asset is expected to be utilized
    - *The lifespan of the UTV purchased is about 5,000 miles, which you anticipate you will hit in 10 years of producing events.*
        - *10 = USEFUL LIFE OF THE ASSET*

**Annual Depreciation = (Asset Cost - Residual Value) / Useful life of the asset**

*Example:* *$925 = ($10,000 - $750) / 10*

Interest: Interest is the fee a business pays a lender (creditor) to borrow money. Interest payments are usually based on the outstanding balance of a loan and paid monthly, though many different arrangements are possible. Interest is usually calculated as a percentage of the balance at an agreed-upon rate. When a loan is received, the bank will provide an amortization schedule, which will outline the amounts owed to pay back the initial principal as well as the interest.

*For example, let's imagine you take out a $10,000 loan to help pay for the UTV which you plan to pay off monthly within the span of two years. After year one, you have paid off $6,000 toward the principal payment and you have paid a total of $850 in interest. The principal portion would go against the initial loan in the balance sheet, but the $850 in interest is an expense within the P&L.*

Taxes: Taxes are highly dependent on a variety of factors. Consult with your accountant for guidance on the tax amounts to include within your P&L.

| ***Pro Tip:*** |
| --- |
| *The IRS provides guidance to small business for estimating tax amounts:*<br>*> Click here for more information* |

**4**

**Net Income:** After interest, tax, depreciation, and amortization amounts have been subtracted from the EBIDTA, you are left with the bottom line of your P&L, which shows the net profit or net loss.

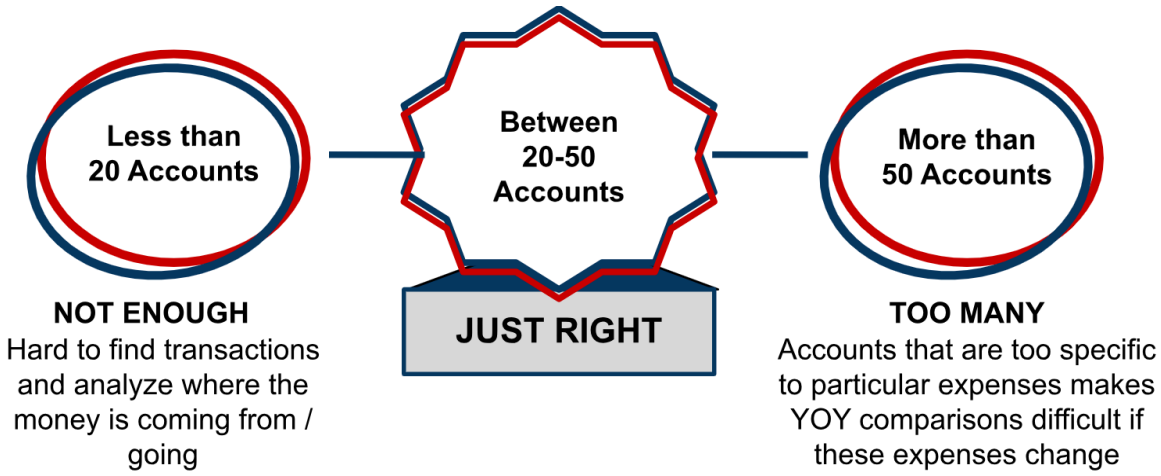
| SAMPLE PROFIT & LOSS STATEMENT | 2022 | 2023 |
|---|---|---|
| | TOTAL | TOTAL |
| 1 Revenue | $100,000 | $125,000 |
| 2 Operating Expense | $50,000 | $60,000 |
| 3 EBIDTA | $50,000 | $65,000 |
| Interest, Tax, D&A | $10,000 | $12,000 |
| 4 Net Income | $40,000 | $53,000 |

**Building Your Chart of Accounts:** The P&L components outlined in the section above help to create an overall framework for your P&L, but these categories are very general. Just think about it — if you were to drop all invoices and receipts from your event in one Operating Expenses "bucket," this might get messy. You would have to sift through hundreds of transactions to get to the bottom of how your money is being spent. This would be far too cumbersome every time you are faced with a financial decision to make! There's a solution — develop a Chart of Accounts to help organize your P&L's information in a more digestible way.

A Chart of Accounts is the filing cabinet that's at the heart of your financial system. It first categorizes transactions as revenue, or expenses and then goes one step further to assign them to specific sub-accounts. Once the Chart of Accounts is established, all transactions are tagged and assigned to live within their respective sub-account so they're easier to locate and analyze.

***Which sub-accounts should you use? Good question!***
You have the ability to customize your Chart of Accounts depending on the nuances of your business and events, but here are a few considerations to keep in mind:

- **Channel your inner Goldilocks**: It's a balance to find the amount of accounts that's just right! Not having enough accounts means you'll have a messy file cabinet. On the flip side, avoid the temptation to create a new expense account for every bill that arrives. If you have too many cabinets, it becomes equally as difficult to find what you're looking for. The sweet spot for a Chart of Accounts is about 20-50 accounts, depending on the size, scale, and sophistication of your event. This is just enough accounts to stay organized, but not too many that you're bogged




- **Include some "Catch All" Accounts:** Inevitably, you'll have some expenses that may not fit cleanly into a specific category. Designate a few accounts where you can drop these miscellaneous expenses. Take care to pad the budget projections in these categories to account for these items.
  *Example: The Course Supplies category may be utilized for zip ties, rope, tape, boxes, light bulbs, flashlights, etc. These supplies may be used in other places besides the course, but assigning the transactions here gives them a home without having to get too granular with your account labels.*

Here are some suggested accounts for your event P&L:

| SUGGESTED ACCOUNTS: |
|---|
| **REVENUE** |
| **REVENUE :**<br>Registration Fees<br>Sponsorship Fees (Cash & In-Kind)<br>Expo Sales<br>Merchandise Sales<br>Athlete Photos Sales<br>Food & Beverage Sales<br>Equipment Rental Revenue<br>Donations |

| OPERATING EXPENSES | | |
|---|---|---|
| **ADMIN EXPENSES:**<br>Accounting Services<br>Bank/Processing Fees<br>Licenses & Permits<br>Office Supplies<br>Storage Space<br>Business Development | **EVENT OPS EXPENSES:**<br>Awards<br>Athlete Transport<br>Athlete Food / Drink<br>Athlete Supplies<br>Course Supplies<br>Emcee<br>Entertainment<br>Equipment Rentals<br>Fuel & Mileage<br>Insurance / Sanction<br>Medical / EMS<br>Officials<br>Public Safety<br>Security<br>Signage<br>Staff Labor<br>Staff Apparel<br>Staff Food<br>Staff Travel<br>Swim Safety<br>T-Shirts<br>Timing<br>Waste Removal<br>Vehicles<br>Volunteers | **MARKETING EXPENSES:**<br>Advertising - Radio<br>Advertising - Internet<br>Advertising - Print<br>Design Services<br>Email Newsletter Service<br>Mailing & Postage<br>Printed Materials<br>Prize Purse<br>Photographer<br>Public Relations<br>Website |

**Determine your Budget Numbers:** Now that you have your Chart of Accounts established, in order to create your budget you need to assign projected dollar amounts to each account. For revenue categories, this means estimating how much income you anticipate coming in for each item. For expense categories, this means estimating how much money you anticipate and are willing to spend on each of these items.

***Where do these projections come from? Good question!***

It's in your best interest to really dig into the nitty-gritty details and build your budget from the ground up. This means taking a close look at each of the sub-accounts and detailing out all associated income/costs. Aspirational budgeting, where you budget numbers you hope to see as opposed to what's realistic, can come back to bite you later on when you're not able to hit these targets.

*The best predictor of future behavior is past behavior*

- **Projecting Revenue:** Projecting revenue is an active exercise that involves running different scenarios to see how the manipulation of factors like pricing and quantity impact the revenue totals. It's important to be realistic and set attainable goals. If available, use historical data to help provide a baseline for performance. For first-year events, connect with other race

directors in your area to help provide guidance for goal-setting.

- **Race Entries**: The registration tab of the tracker provides an at-a-glance view for YOY comparison of the performance of different race entry types. As you work to set pricing and goals for registration growth, this tool can help you play out different hypothetical scenarios to find the solution that's best for your event.

***Pro Tip:***

*Tips for determining your registration fees:*

1. *Conduct a Regional Market Analysis to research the price point of other races in your area. It's important to remain competitive with the market, but also take note of the value other races are providing their athletes and how that compares to your athlete experience. If you're offering a unique value, your race may be in a position to set the bar for the pricing in the market.*

2. *Try to maximize the number of registrations and the price (equals total revenue)*

3. *Selling out your race helps to maintain demand. In some instances, operational or permitting limitations may create the need to institute a registration cap. A cap can also be artificially produced as a long term strategy to help build buzz and urgency around the registration process.*

4. *Structure incentives for earlier sign up. Consider creating a tiered pricing structure that provides discounts for athletes who register early.*

5. *Avoid annual price increases. For athletes who participate in your events each year, consistent fee increases get old fast! If you're planning an increase, be strategic to set a number that will be sustainable for multiple years.*

- **Sponsorship (Cash & In-Kind):** A cash sponsorship is when the sponsor pays a fee in the form of cash, whereas an in-kind sponsor provides a value in the form of goods or services. In-Kind sponsorships are often budget-relieving, which means the services received as part of the agreement saves you from having to spend money from your budget to have to purchase these items. As such, these items should be reflected in your P&L.

| ***Pro Tip:*** |
| --- |
| *Accounting for In-Kind Sponsorship contributions:*<br><br>● *Budget relieving deals are typically valued at retail cost. For example, let's say you need (30) hotel room nights for staff for your events and you've budgeted $5,000 for this expense. Prior to the event, you secure a sponsorship with a local hotel that's willing to provide the (30) room nights in exchange for on-site presence at the event. The deal translates to a $5,000 savings for the event.*<br><br>● *Proper in-kind accounting entries do not affect profits. Using the example above, there would be a $5,000 entry listed as sponsorship revenue and an off-setting ($5,000) entry in the corresponding expense category to reflect the savings.*<br><br>● *Even though these entries net out to zero, it's important to include them in your budget so you have a record of all expenses that exist and how they're paid. Keeping these in-kind partnerships in the P&L ensures you will not forget to budget for these items in future years. After all, sponsorship deals have an expiration date. Once the partnership ends, you will once again be responsible for covering the cost of these items or securing another sponsor who will provide these services.* |

- **Projecting Expenses:** For expense projections, avoid the temptation to plug in the numbers you hope to see from vendors and instead use the actual numbers. Just because you'd only like to spend a certain amount of money on a product or service, doesn't mean it's possible you'll be able to source it for that amount. For returning events, be careful not to assume last year's vendor pricing will be the same as this year's vendor pricing. Do your homework, reach out to vendors for quotes, and most importantly, be realistic.

  *Don't guess! Get a quote*

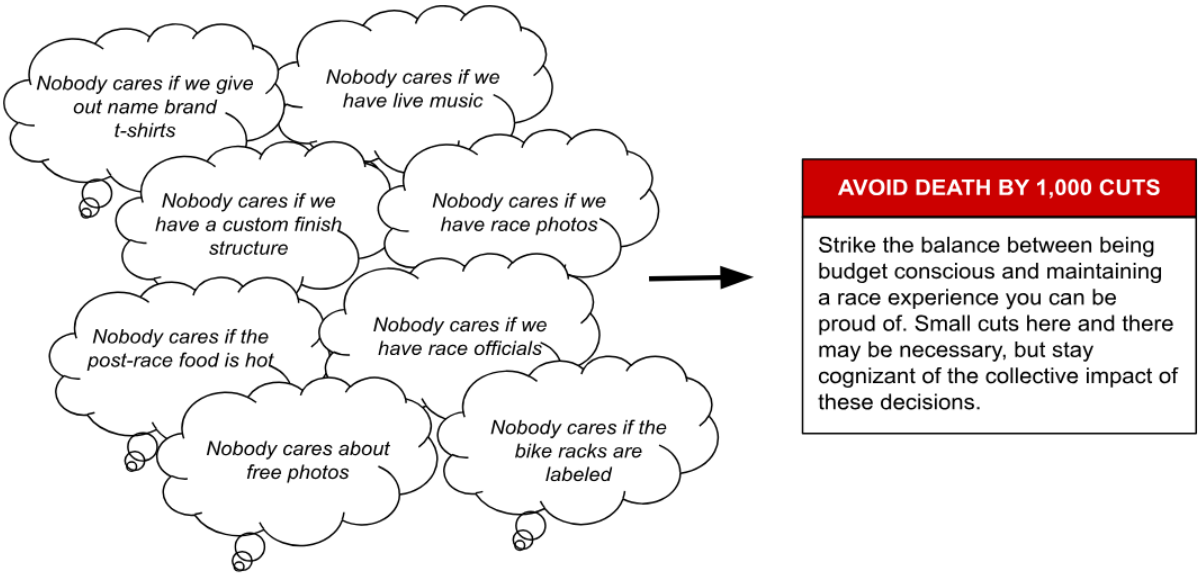
  For each line item in the budget, consider if it is a fixed or variable expense. A well-constructed budget will allow you to estimate what portion of your overall expenses are fixed vs. variable.

  - **Variable Costs:** Use the projected registration numbers from your revenue section as the baseline for calculating these costs (quoted cost per person x projected # of registrants).

  - **Fixed Costs**: In general, fixed costs make up the majority of your expenses and are typically what make or break an event. These expenses are not dependent on registration numbers, but they may fluctuate Year-Over-Year based on outside factors like vendor cost increases, inflation, and/or product shortages. The way to reduce fixed costs is to potentially eliminate or alter these portions of the event. For example, you

may look to trim some discretionary fixed costs by eliminating live entertainment or scaling back on signage production. Adjustments to non-discretionary expenses tend to involve more serious changes to the landscape of the event. For example, if you have a two-day event that involves multiple distances, you can model the potential savings in expenses like police fees, staffing, rental costs, etc. if you were to eliminate an event or competition day.

While it can be tempting during the budget process to cut, cut, cut event elements in order to make the bottom line more attractive, keep in mind that every budgeting decision has a direct impact on athlete experience. Individually, these reductions may seem small and insignificant, but collectively, over time these can negatively affect how your athletes perceive and engage with the race.

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**DETERMINE YOUR BREAKEVEN POINT:**

By definition, an event's break even point is the point at which the expenses equal the revenue. In other words, if you're breaking even, you aren't spending more than you're making or making more than you're spending. It's an exact net neutral where no money is profited or lost.

However, net neutral operating profits may not be sustainable for your event especially if there are other groups that need to be paid out of this bottom line (i.e. non-profit board, race director salary, etc.) Instead, view your break even point as the minimum level of profit you need to make in order to justify hosting or continuing the event. You need to decide the dollar amount that's going to make it all worthwhile!

To calculate the break even point for your event:

1. Create your dynamic P&L template where you're able to see the impact of adjusting registration numbers and entry pricing on the revenue side. The manipulation of these numbers should result in changes to the variable costs, while fixed costs remain static

2. Finalize your budget projections for revenue and expenses

3. Consult with all stakeholders to define what profit level will be considered break even

4. Evaluate if there are additional steps that can be taken to help reach this break even point by adjusting one or two independent variables (i.e. registration numbers, entry pricing, sponsorship dollars). Proactively run different numbers for the "worst case scenario" to understand when you may be at risk of falling short of the break even point. Be realistic!

5. This break even threshold will help serve as the guidepost for future decision-making

**Deciding Go vs. No Go:** Most events rely heavily on registration revenue to enable them to turn a profit. In situations where registration numbers are trending significantly lower than projected, this can launch the race (and your company) into financial strain. By closely monitoring registration numbers, it is possible to know months out if the event will make or lose money. Evaluate these numbers in the context of your break even point to make an informed decision about whether to continue to move forward with the event.

| STEP 1 | STEP 2 | STEP 3 | STEP 4 |
|---|---|---|---|
| Identify your break even profit target and determine how much revenue is needed to reach this goal | Establish a "go or no go" cutoff date to decide whether to proceed with the event. ***This date should be months out from the event not weeks!*** You want to be provide participants with ample notice and also minimize the amount of money outlaid for equipment, rentals, and services | For existing events, perform a year-to-date registration analysis using past data to see how many registrations you need to have by the cutoff date in order to be on track to hit your break even cutoff by event day. For new events without historical data this process is more challenging, but use your average weekly registrations to help estimate where your numbers will land | Establish a cancellation contingency plan to be able to notify participants, sponsors, staff, vendors, and city agencies. Prepare the necessary communications and the plan for refunding money where applicable |

The financials may be the driving factor for the decision to pull the plug on an event, but also consider how cancellation may affect other events in your portfolio (if applicable) and your company's ability to continue operating in the space. Canceling an event may cause athletes, sponsors, and city agencies to question your ability to deliver an event in the future. When you're deciding your "go vs. no go" thresholds, the value of your organization's reputation needs to be weighed against the financial implications of moving forward with the event.

There may be some instances where it may be necessary to take a loss on one race to preserve your organization's ability to produce other profitable events. However, there may be other times where you have to make the hard decision to cut your losses and put an end to the event. This can be a difficult decision when you as the Race Director have invested your own blood, sweat, and tears to make it successful. No one said this job would be easy! Bouncing back from an event cancellation is possible with the creation of a structured cancellation contingency plan that aims to combat negative sentiment with a concerted effort to restore any lost faith in your organization.

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**USING YOUR P&L AS A TOOL:**

Once you've populated your projected revenues and expenses, what happens now?

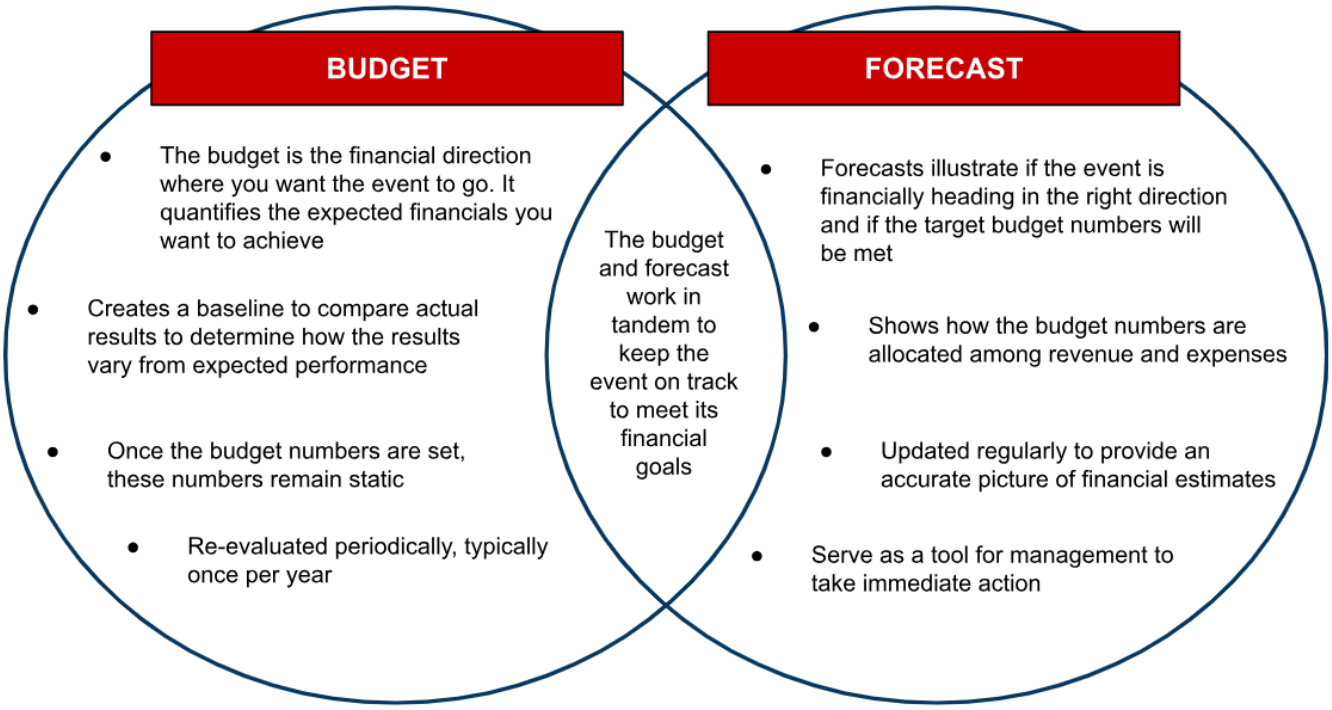
1. **Lock in an approved budget**: Share the budget projections with the rest of the event leadership team (if applicable). Once all necessary parties have reviewed and approved the projections set forth, lock in these budget numbers as final. These numbers will now serve as the baseline for all revenue and expenses for this year of the event. You won't have to touch these again until it's time to go through the projection process again next year.

2. **Enter your event forecasts in real time:** As you dig into the planning process of the event, you'll receive updated information about revenue and expenses. Those broad strokes projections you created during the budgeting process to estimate things like vendor orders and registration numbers will begin to come into focus with more precise dollar amounts. It's important to log these forecasts in your P&L as you receive the information to help track performance. While your budget numbers are static, your event forecasts are constantly changing as they represent your best estimate of financial performance at any given time. This allows you to make proactive, informed decisions about how and when to spend. A large piece of forecasting is the reallocation of budgeted money.

   Here's an example scenario:
   *Due to construction along the course, you need to rent additional barricades and delineators to help athletes to safely navigate around the roadwork. As a result, your forecasted dollar amount for the "Equipment Rentals" category is coming in over budget. Knowing you need to find a way to help offset this expense, you engage a local restaurant about an in-kind sponsorship to provide staff meals. This partnership eliminates a spend in the "Staff Food" category to help bring the overall budget back into balance. P&L Management involves a great deal of "robbing*

*Peter to pay Paul" between your different Chart of Accounts. At the end of the day, you may have some accounts that come in under budget and some that come in over budget. As long as your total spend is in line with your overall budget numbers, you're in the clear!*

**WHAT'S THE DIFFERENCE BETWEEN A BUDGET & A FORECAST?**




3. **Populate actuals as they are paid:** Your event actuals refers to the dollar amounts that have been outlaid (expenses) and received (revenue) for the event. While the budget and forecast numbers deal with projections, the actuals refer to the cash flow in reality. It's helpful to have a pulse on these numbers to provide insight into what's in the bank. Evaluating actuals comes into play when making "go vs. no-go decisions" on certain elements of the event as they help to highlight how much money has already been "sunk" on event expenses. If you pull the plug now, this is the amount of money you may not be able to recoup.

4. **Track the variances:** There are a few variances to keep an eye on:

| BUDGET VS. FORECASTS | FORECAST VS. ACTUALS |
|---|---|
| If a difference exists between your budgeted amounts and your forecasts, this indicates that you may be over/under budget in a particular category. In these instances, it may be necessary to adjust spending or focus attention on your revenue streams to be able to keep the overall budget in tact | If a difference exists between your forecasts and your actuals this indicates there's money you're expecting to pay/receive that has not yet been paid. This means there's potentially outstanding money that's owed to you or if there's money you owe to other parties. When you close out your books for an event at the end of the year, the variance between your forecasts and actuals should be $0, which means that all the money you've expected to earn or pay (your forecasts) matches the amount of money that has actually left or arrived within your bank account (actuals) |

5. **Post-Event Evaluation:** Once the dust settles on the event and all of the revenues and expenses have been reconciled within the P&L, it's important to evaluate how your final actuals compare to the original budget set forth. Deep dive into your numbers to determine where the biggest discrepancies exist to help inform how you can more accurately anticipate these costs in the future.

***Pro Tip:***

*When faced with falling registration revenues and/or lost sponsor revenues, be prudent about cost-cutting which can affect the perceived quality of the event. This can lead to a "Death Spiral"*

6. **Use this year's actuals to guide next year's budget:** When building out your P&L template for the following year, include this past year's actuals within the tracker. This will help to guide budget projections and serve as a helpful reference if there are trends that start to develop with revenue growth/decline and spending.

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